

INS-007 · AGREEMENT STRUCTURE · QUESTION 11

One instrument or two | For Dennis Lanni | HGF Management Company | July 13, 2026

For Dennis Lanni. July 13, 2026. This is program question 11, the last open program decision after school fees and the financing platform were answered earlier today. It is a small question with a large tail: it decides how many instruments a city signs, and how much friction stands between the program and its own fee schedule for the next twenty years. Presented with the worked answer, a recommendation, and the exact list of documents that move either way. The builder's reasoning is labeled as reasoning; nothing here is a legal opinion, and bond counsel is the resolver on the one point that matters legally.

The question

Does the operational services relationship split out into a separate INSITE Program Administration Agreement, or does it stay folded inside the Participation Agreement?

Where the record stands

The current draft folds it in. INS-301's Appendix A sample Participation Agreement carries the administrator's duties inside Article 4: preparing every formation, annexation, and levy document; engaging and managing the independent appraisers; running underwriting to the four-to-one and burden standards; preparing the annual county levy submission; administering delinquency, buyer notices, and reporting; and maintaining the district's records. One instrument, one council approval, one signature.

Your July 13 intake memos propose the other shape: a Participation Agreement that establishes the relationship, plus a separate Program Administration Agreement that is the operational services instrument, alongside a city-staff implementation manual (which the library has reserved as INS-304, since INS-302 already belongs to the Developer Guide).

What each instrument actually carries

The Participation Agreement is the legislative act. It is what the council reviews, what the city attorney signs off on, and what the joining resolution approves by name. Its load-bearing terms are the ones a council cares about and would never delegate: the agency's undertakings, its sole discretion over every approval, the express absence of any general fund obligation, cost recovery, and wind-down continuity if the program ever stops.

The Administration Agreement, if it exists, is a services contract. Its load-bearing terms are the ones a council does not want on its agenda: the fee schedule, the service levels, the reporting formats and cadences, the delinquency escalation ladder, insurance, subcontracting of the tax roll administration function, term and termination, and the mechanics of what happens to the records at handoff.

The case for one instrument

Fewer moving parts at onboarding. One document for the city attorney to review, one item on the agenda, one signature block, one thing to explain. For a program whose entire pitch to a city is that participation is cheap and low-risk, a single instrument is the cleanest version of that pitch. It is also what INS-301 already says, so choosing this costs nothing to build.

The case for two

Every commercial term in this program will change. Fee schedules move. Service levels get tightened after the first year of real operation. Reporting formats change when the first capital partner says what it wants. The delinquency ladder conforms to each note's covenants, which do not exist yet.

If those terms sit inside a council-approved instrument, every change to them is a change to a council-approved instrument. Multiply that by every participating agency, and the program's own operating terms become the slowest thing it owns. Splitting them means the legislative terms stay stable in the Participation Agreement while the operational terms live somewhere that can be amended at the staff level where the agency's own rules permit that, which is a matter of each agency's contracting authority and not something this memo can assert generically.

The split also matches how the program already thinks. The operations manuals (INS-401 execution, INS-501 annual administration) are already written as services documentation, not as legislative terms. The Administration Agreement is where those manuals attach.

What the evidence supports, and what it does not

Verified: the statewide authorities publish standing form joining instruments, and the California Municipal Finance Authority distributes a form Resolution to Join CMFA that a governing body adopts and executes (register entry G16). Verified: an agency's exposure in these programs is intermediary only, with no city funds involved and no financial liability incurred by participating, per the City of Elk Grove's own staff report (E6). Both facts support keeping the council-facing instrument short, stable, and about the relationship rather than about the operations.

Not verified, and stated as the builder's reasoning rather than as fact: that the average California city's contracting rules would let a services agreement be amended without returning to council. That varies by agency, by dollar threshold, and by charter. It is the practical reason to split, and it is exactly the point on which the recommendation is weakest.

Recommendation

Split, with the Participation Agreement as the master instrument and the Administration Agreement incorporated into it by reference.

The council approves the Participation Agreement. That agreement says, in one article, that the administrator performs the services set out in the Program Administration Agreement, executed by the agency's authorized officer, and that the fee schedule and service levels are the ones stated there. The load-bearing legislative terms stay where the council can see them: sole discretion over approvals, no general fund obligation, cost recovery, wind-down continuity. The operational terms sit in the services instrument where they can move without a legislative act.

The one question for bond counsel, and it should go to Brad Neill with the rest: which of the administrator's duties must appear in the council-approved instrument for the agency's own authorization to hold, and which may be carried by reference. If counsel says everything must be in the approved instrument, the split collapses back to one document and this memo is wrong. That is the correct order of operations, because it is cheaper to ask than to redraft.

Document impact

If the answer is two instruments:

1. INS-301 Appendix A gains a short Article 4 that incorporates the Administration Agreement by reference, and the existing duty list moves into a new sample Administration Agreement, bannered for bond counsel review and marked not for execution, as every sample instrument in the guide already is.
2. INS-301 Appendix D, the document suite register, gains the Administration Agreement as a distinct instrument with its purpose, parties, key terms, and trigger.
3. INS-301 Appendix G, the agency checklist, gains one line: Administration Agreement executed by the authorized officer.
4. INS-301 chapter 9, the path to participation, gains one step between legal review and the resolutions.
5. The document library register gains the instrument.
6. INS-304, the city-staff implementation guide, is written against the two-instrument structure when it is written.

If the answer is one instrument: nothing moves. INS-301 is already correct, and the founder memos' proposal is noted and closed.

The decision

Two instruments, with bond counsel confirming what must stay in the council-approved one. Or one instrument, and INS-301 stands as drafted. Awaiting the founder.

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